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Inalienable Human Capital and Inevitable Corporate Payouts

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ABSTRACT

We highlight that the inalienable nature of human capital can crucially determine the division of economic gains between shareholders and other counterparts in view of corporate payouts. Exploiting the staggered rejections of the inevitable disclosure doctrine (IDD) across 15 US states as exogenous shocks that potentially increase the mobility and bargaining power of key talents, we find that treatment firms increase payouts relative to control firms following those events. The baseline effects are more pronounced among firms that are more reliant on key human capital, have better corporate governance and stronger financial conditions, and are faced with greater product market competition. These findings suggest that higher payouts enable shareholders to deter the capture of economic rents by key talents who threaten to leave. That is, due to shareholders' counteraction, the inalienable nature of key human capital, a subgroup of labor, may unintentionally result in an unfavorable division of economic gains for labor as a whole.

JEL Classification: G38, G18, G14

1 | Introduction

With the rapid growth of the economy and modern technologies, human capital has been emerging as the most crucial asset (Zingales 2000). Compared with rank-and-file employees who execute routine tasks, key human capital undertakes more valuable and complex tasks and is exceedingly costly to hire and replace (Belo et al. 2017; Israelsen and Yonker 2017).¹ However, human capital has an inalienable nature—that is, a firm's capital becomes less profitable or can be (partially) taken away by key talents when they depart (Hart and Moore 1994; Bolton et al. 2019; Dou et al. 2021).²

How does the inalienable nature of human capital affect the division of economic gains between shareholders and other

counterparts? Given the growing concerns about an increasingly unfavorable division of economic gains for labor worldwide, this issue has both academic value and policy implications. In this paper, we throw light on this question by studying whether the key talents' mobility frictions can affect corporate payouts, a major form of wealth transfer from labor to shareholders that attracts much attention.³

We exploit the staggered rejections of the inevitable disclosure doctrine (IDD) as exogenous shocks to the likelihood of key talents' mobility. IDD is a legal doctrine that can prevent key talents from accepting similar employment in the same field, or limiting their responsibilities in the new firm, due to their high probability of revealing trade secrets (Godfrey 2004). The rejection of the IDD occurs when a state court rules that the

doctrine is not enforceable in the state. By rejecting the doctrine, the state lifts a vital mobility restriction on the key talents who are valuable and often, in time, irreplaceable to the firms (Na 2020). Since 1999, 15 states in the United States have rejected the IDD in a staggered manner (Flammer and Kacperczyk 2019), which offers plausibly positive and exogenous shocks to key talents' mobility, providing us a great laboratory setting to identify how firms' concerns regarding the increased likelihood of key human capital's mobility affect their payout policy.⁴

The effect of the rejections of the IDD on payouts is *ex ante* ambiguous. On the one hand, IDD rejections might be followed by a less aggressive payout policy. Hart and Moore (1994) show that if an entrepreneur who needs to be financed by an investor could withdraw his human capital from the projects at some point in time, some profitable projects will not be financed due to the threat of repudiation. By allowing the key talents to move more freely, IDD rejections can magnify such a threat and dampen a firm's ability to obtain external financing from investors. As a result, firms, especially those that heavily rely on scarce human capital resources, may reduce payouts in order to preserve a larger cash balance (Lambrecht and Pawlina 2013; Z. He 2018).

In contrast, the rejections of the IDD might be followed by an increase in payouts. Key talents possess unique skills that can hold up shareholders and capture a share of economic rents (Noe and Rebello 1996).⁵ According to the outcome model of payouts, shareholders demand payouts from firms to mitigate rent extraction and wealth transfers by other constituents (e.g., La Porta et al. 2000; DeAngelo et al. 2009). The rejections of the IDD enable key talents to switch jobs more easily, which heightens the risk of losing them and endows them with stronger bargaining power. As the rejections of the IDD empower key talents to capture more of the rents, more payouts become desirable for the shareholders to shield them from resource appropriations by the key talents.

Given the tension in the predictions, it remains an empirical question on the direction of the rejections of the IDD affecting the total payouts. To tackle this empirical question, we adopt the difference-in-differences (DID) methodology in a staggered manner (e.g., Bertrand and Mullainathan 2003; Na 2020). Following prior studies (Chu 2018), we compute the ratio of total payout to the market value of common stocks as our key dependent variable. Throughout the paper, we employ the "stacked regression" with clean control units consisting of firms located in states that never change their IDD status to help circumvent the issue that staggered DID regression estimators could be biased and may not provide valid estimates of the causal effects of interest (Baker et al. 2022). Using a sample of US public firms between 1994 and 2019, we find evidence supportive of the notion that IDD rejections induce more payouts.⁶ We next estimate the dynamic model to assess the effect of each individual year relative to the year of IDD rejections. We find that the treated firms and control firms are virtually indistinguishable with respect to their payout ratio prior to the year of IDD rejections, which satisfies the crucial pre-trend assumption in the DID framework.

Further analysis sheds light on the possible channels. First, shareholders concern about the risk of losing key talents following the rejections of the IDD, especially for those relying

more on key human capital to generate cash flows and sustain daily operations. Using a variety of proxies, our cross-sectional tests confirm that the main effect is more pronounced among firms that are more reliant on key human capital. Second, we show that the firms with better corporate governance experience a greater increase in payouts following the rejections of the IDD, consistent with the outcome model that better internal and external corporate governance can shield shareholders from resource appropriations by the other stakeholders, including the key talents. Third, we predict and find that the rent extraction effect is more of a concern for firms that are financially healthier. Fourth, we document that the increase in payouts is more pronounced in the presence of greater product market competition, suggesting that intensified product market competition makes key talents more able to threaten to leave and therefore increases the necessity of demanding higher payouts to prevent rent extraction.

Our paper contributes to the literature in the following ways. We are particularly interested in one group of labor—the key talents. The key talents account for a larger fraction of a firm's human capital than the typical workers (Israelsen and Yonker 2017). Moreover, in comparison to the typical workers, retention and replacement of the key talents are more challenging, if not impossible. For instance, training alone cannot substitute entirely for the body of knowledge and expertise attached to the key talents. Consequently, when the key talents depart, it becomes very costly and risky for the shareholders than losing rank-and-file employees (Eisfeldt and Papanikolaou 2013; Boguth et al. 2022).

We add to the growing literature on the mobility of key human capital (and labor market frictions) in corporate decisions (e.g., Klasa et al. 2018; Li et al. 2018; Ali et al. 2019; D. Chen et al. 2021; Shen 2021; Chowdhury and Doukas 2022; Gu et al. 2022; Guernsey et al. 2022; Xu 2025). Via the lens of corporate payouts, we broadly relate to the literature that attempts to understand shareholder risks in investing in human capital (e.g., Hart and Moore 1994; Lev and Radhakrishnan 2005; Eisfeldt and Papanikolaou 2013; Qiu and Wang 2018; Li, Qiu, and Shen 2018; Boguth et al. 2022; Bae and Kang 2023).

We add to the classic and live literature of corporate payout policy from the angle of inalienable human capital.⁷ In particular, our paper is closely related to the outcome model of payouts (e.g., La Porta et al. 2000; DeAngelo et al. 2009; Bae et al. 2021) and to the peer effects and predation view of payouts at the industry level (e.g., Adhikari and Agrawal 2018; Grennan 2019). In particular, several prior studies have documented the relation between labor (or labor union) and payouts (e.g., Bøhren et al. 2012; S. S. Chen et al. 2015; Chino 2016; Haw et al. 2018; J. He et al. 2020), and employee compensation and payouts (e.g., K. M. Kahle 2002; Babenko 2009; Almeida, Fos, and Kronlund 2016). Importantly, they largely focus on strategic bargaining issues *within* a firm. We differ but supplement the literature by taking the inalienable nature of human capital and *transferable* human capital across firms (and likely within the industry) into consideration. Our overall findings imply that due to shareholders' counteraction, the inalienable nature of one subgroup of labor may unintentionally result in an unfavorable division of economic gains for labor as a whole.

The rest of our paper is organized as follows. Section 2 describes background and develops hypotheses. Section 3 describes data and empirical design. Section 4 reports the main empirical results. Section 5 conducts further analysis. Section 6 concludes.

2 | Background and Hypothesis Development

2.1 | General Background of the Rejections of the IDD

The IDD is a legal doctrine that can have the effect of preventing employees from accepting similar employment in the same field, or of limiting their responsibilities in the new firm, due to their high probability of revealing trade secrets (Godfrey 2004). Unlike other trade secret protection laws, the IDD is a tool for granting injunctions on competition in the *absence* of actual misappropriation. In particular, the IDD arises from the concept of “threatened misappropriation,” which occurs when a former employee who had access to a firm’s trade secrets has a similar position in its competitor and has the intent to disclose the secrets (Na 2020).

By rejecting the doctrine, a state removes an important mobility restriction on employees who provide a firm valuable and sometimes irreplaceable human capital (Flowers 2019). Therefore, the rejections of the IDD make key talents more able to switch their jobs, increasing the *threat* of firms losing them and entitling them to stronger bargaining power. Indeed, prior studies document that the rejections of the IDD increase the mobility of employees who know trade secrets (Png and Samila 2015; Klasa et al. 2018). In the meantime, the rejections of the IDD also create opportunities for firms to attract key talents from peer competitors that are also affected by the legal changes. The decisions of rejecting the IDD are largely exogenous to individual firms, as judges of state courts are deemed to be independent of the federal and state governments, and therefore, their decisions depend on the merits of the specific case and are unlikely to be influenced by political pressure and lobbying (Klasa et al. 2018; Na 2020).

As indicated by Na (2020), one classic example of the rejection of the IDD is *Whyte v. Schlage Lock Co.* in California. Whyte, a vice president of sales at Schlage, was responsible for sales to Home Depot and others. Kwikset competes with Schlage for the shelf space at Home Depot. In June 2000, Whyte left Schlage and became a vice president at Kwikset. Schlage filed a suit seeking injunctive relief preventing Whyte from working at Kwikset. However, the court regards that although the information that Schlage sought to protect was trade secrets, it failed to establish actual or threatened misappropriation. Eventually, the court denied the injunction, ruling that the IDD is not enforceable.⁸

In the line of research that explores IDD settings, Qiu and Wang (2018) identify 10 rejections and document negative abnormal stock returns around the IDD rejection dates for firms headquartered in the affected states. Prior to this, Qiu and Wang (2018) mainly focused on IDD adoption because there had been an insufficient number of rejection events (only three identified) to yield meaningful insights.⁹ Flammer and Kacperczyk (2019) further update this list based on Kahnke and Bundy (2013) and recent court rulings, identifying a total of 14 rejections to study how corporate social responsibility serves as a defense against

knowledge spillover. Na (2020) uses this list to study the effect of CEOs’ outside opportunities on relative performance evaluations.

Note that a state court can still reject the IDD even if that state has *never* adopted the IDD in previous years, because the rejection event is essentially a case ruling indicating that the IDD is not enforceable. If a state has not made it clear whether employees who will inevitably disclose valuable trade secrets to industry rivals can find a new position within the industry, while a case ruling clearly supports such employees to join a rival firm, then it implies that this state rejects the IDD without having adopted it previously.¹⁰

2.2 | Hypothesis Development

The effect of the rejections of the IDD on payouts is *ex ante* ambiguous. On the one hand, IDD rejections might be followed by a less aggressive payout policy. Human capital, including the key talents (e.g., management and technical personnel), differs from traditional physical capital because of its inalienable nature, that is, firms do not have full legal control of the human capital (Becker 1962; Diamond and Rajan 2000; Hart and Moore 1994; Bolton et al. 2019; Dou et al. 2021). Under the framework of Hart and Moore (1994), an entrepreneur who needs to be financed from outside could withdraw his human capital from the projects at any point in time. As the entrepreneur does not credibly commit to staying in the projects, investors are disincentivized to provide capital in the first place. The threat of the entrepreneur’s repudiation thus causes some profitable projects not to be financed. By granting the key talents better chances of moving, IDD rejections can aggravate such a threat, dampening a firm’s ability to obtain external financing. Also, Eisfeldt and Papanikolaou (2013) identify that the risk of “loss of key personnel” can expose firms to not only a direct loss in firm value but also indirect losses due to increased competition from rivals that now have inside knowledge of the firm’s corporate practices. As a result, following the rejections of IDD, firms, especially those that heavily rely on scarce human capital resources, may reduce payouts in order to preserve a larger cash balance to counteract the potential adverse effects of dampened financing capabilities (Lambrecht and Pawlina 2013; Hoberg et al. 2014; Z. He 2018).

Based on the arguments above, we propose:

Hypothesis 1a. *The rejections of the IDD will result in a decrease in corporate payouts.*

In contrast, the rejections of the IDD might be followed by an increase in payouts. Firms’ capital can generate higher cash flows in combination with key talents, due to their special skills.¹¹ Nevertheless, replacing key talents is always costly (Yonker 2017). Knowing that a firm’s capital becomes less profitable or can be (partially) taken away after their departure, key talents are able to hold up shareholders and extract rents by opportunistically renegotiating their contracts, which ultimately gives rise to agency conflicts with shareholders (Noe and Rebello 1996).¹² The rejections of the IDD empower key talents to capture more of the rents through threatening to leave, which further aggravates such agency conflicts. Outcome model of payouts suggests that shareholders can demand higher payouts to shield them

from rent extraction and wealth transfers by other constituents (e.g., La Porta et al. 2000; DeAngelo et al. 2009). Even if rejections of IDD do not cause *actual* job switching of key talents, higher payouts are desirable for shareholders to increase bargaining power and minimize the likelihood of rent extraction *ex ante*. Even if the firm increases the compensation of key talents to prevent their departure, at least, by doing so, shareholders can require the firm to use high payouts as a pre-commitment of not overinvesting in key human capital (Jensen 1986; Hart and Moore 1994; Qiu and Wang 2018).

Based on the arguments above, we propose the following competing hypothesis:

Hypothesis 1b. *The rejections of the IDD will result in an increase in corporate payouts.*

3 | Data and Empirical Design

3.1 | Data and Variable Construction

We start with all US publicly listed firms in the Compustat, which spans from 1994 through 2019, covering 5 years before the first event of IDD rejection in 1999 (Virginia) and 5 years after the last event in 2014 (North Carolina). Table B1, originally obtained from Flammer and Kacperczyk (2019) and updated with recent court decisions, outlines the state, the year, and the case where the IDD was rejected.

Following the literature, we exclude utility firms (SIC codes between 4000 and 4999) and financial firms (SIC codes between 6000 and 6999). To avoid extreme values in calculated payout measures, we require a firm's fiscal year-end total assets to be greater than \$1 million and its fiscal year-end closing price to be higher than \$1. In addition, we exclude observations with missing values of main variables and firms that have changed their headquarters throughout our sample period.¹³ All continuous variables are winsorized at the 1st and 99th percentiles and are expressed in dollar values in 2000 dollars.

3.2 | Empirical Design

To minimize the concern that the potential “forbidden control” problem due to the usage of already-treated units as controls could bias the estimation in the traditional staggered DID setting (De Chaisemartin and d'Haultfoeuille 2020; Goodman-Bacon 2021), we employ a stack-cohort approach throughout the paper (Cengiz et al. 2019; Baker et al. 2022).¹⁴ Staggered DID estimates obtained through two-way fixed effects (TWFE) regressions are variance-weighted averages of many different “2 × 2” DIDs. Relying on the stack-cohort approach, we are able to obtain an estimation involving cohort-time-specific treatment effects through simple 2 × 2s with clean controls. In principle, the stacked regression estimates the DID from each of the cohorts and then applies variance weighting to combine the treatment effects across cohorts efficiently.

We treat each IDD rejection event as a cohort and then pool the data of treated and control firms across cohorts to estimate

the average treatment effect. That is, we turn the original firm-year-level sample into a firm-year-cohort-level sample. As this sample has three dimensions (firm-year-cohort), this approach also allows the firm- and year-fixed effects to vary by cohort, which is more conservative than including simple fixed effects (Gormley and Matsa 2011). For each cohort, we retain firm-year observations of treated and control firms for 5 years before and 5 years after the rejections of the IDD. To select clean control units, we require that control firms be those located in states that *never* change their IDD status, that is, neither adopt nor reject the IDD.

In particular, to estimate the rejections of the IDD on corporate payouts, we estimate the following model:

$$PAYOUT_{i,c,s,t} = \beta IDD_{s,t} + \gamma \times CONTROL_{i,c,s,t-1} + \omega_c \times v_i + \omega_c \times \tau_t + \varepsilon_{i,c,s,t}, \quad (1)$$

where i indexes firm, s indexes the headquarter state, and t indexes year. $IDD_{s,t}$ is a dummy variable that equals 1 if a firm's headquarter state s has rejected the IDD in year t and 0 otherwise. The coefficient on IDD , β , is the one with main interest. We include a vector of control variables and control for cohort-times-firm-fixed effects ($\omega_c \times v_i$) and cohort-times-year-fixed effects ($\omega_c \times \tau_t$) in the model. We cluster standard errors by headquarter states to account for potential time-varying correlations in unobservable factors that affect different firms within the same headquartered state (Bertrand and Mullainathan 2003; Bertrand et al. 2004).

Following Chu (2018), we define $PAYOUT$ as the ratio of total payout to the market value of common equity. The original value is multiplied by 100 to facilitate the interpretation of estimation results. Following prior studies (e.g., Jagannathan et al. 2000; Grullon and Michaely 2002; Skinner 2008; Grullon et al. 2011; John et al. 2011), the vector of control variables includes: firm size ($SIZE$), leverage (LEV), age (AGE), market-to-book ratio (MB), sales growth ($GSALE$), operating cash flow ($OPCF$), earnings volatility ($EARNVOL$), cash holdings ($CASH$), and return on assets (ROA).

3.3 | Summary Statistics

Table 1 presents summary statistics for the variables included in our regression analysis. In our sample, the mean of $PAYOUT$ is 2.403, indicating that an average firm has yearly payouts that correspond to 2.403% of the market capitalization. The mean value of IDD is 0.165, indicating that 16.5% of observations are affected by the rejections of the IDD. Other summary statistics are largely consistent with prior studies listed above. Our main sample consists of 52,620 firm-year-cohort observations.

4 | Main Empirical Results

4.1 | Baseline Estimation

We begin our empirical analysis by estimating Equation (1) without control variables but with firm-times-cohort and year-times-cohort fixed effects. The result is reported in Table 2, Column (1), where we find a positive and statistically significant

TABLE 1 | Summary statistics of main variables.

	Num	Mean	SD	P25	Median	P75
	(1)	(2)	(3)	(4)	(5)	(6)
PAYOUT	52,620	2.403	4.484	0.000	0.209	3.031
IDDR	52,620	0.165	0.371	0.000	0.000	0.000
SIZE	52,620	5.624	1.957	4.193	5.572	6.982
LEV	52,620	0.219	0.218	0.017	0.173	0.346
AGE	52,620	2.451	0.853	1.792	2.565	3.091
MB	52,620	2.904	4.209	1.189	1.993	3.462
GSALE	52,620	0.090	0.329	-0.037	0.062	0.193
OPCF	52,620	0.059	0.166	0.022	0.082	0.139
EARNVOL	52,620	0.071	0.080	0.026	0.048	0.086
CASH	52,620	0.183	0.204	0.031	0.103	0.268
ROA	52,620	-0.014	0.217	-0.023	0.036	0.079

Note: This table reports summary statistics of variables used in the regressions estimated by the full sample consists of firm-year observations. Columns (1) to (6) report the summary statistics of the variables in the full sample. Variable definitions are provided in Table A1.

coefficient estimate on *IDDR*. That indicates firms tend to pay out more if they are located in states that have rejected the IDD.

The firm-times-cohort fixed effect controls for the firm-specific and time-invariant characteristics, while the year-times-cohort fixed effect controls for the overall time-varying characteristics. In addition to such a combination of fixed effects, in Column (2) of Table 2, we add a set of firm-level controls that account for observables that vary within firms and across time. Our estimated result with those control variables reinforces the positive relation between payouts and IDD rejections, where the coefficient estimate on *IDDR* is positive and statistically significant at 1% level. To put that into perspective, the coefficient of 0.382 implies that the increase in total payout is equivalent to 15.90% ($= 0.382/2.403 \times 100\%$) of the sample mean relative to the states without rejecting IDD.

Our coefficient estimates on control variables are largely consistent with the extant literature. Larger and mature firms have higher payouts (e.g., Grullon et al. 2002; DeAngelo et al. 2006). Firms with more growth opportunities (i.e., higher market-to-book ratio) pay out less due to their riskiness (e.g., DeAngelo et al. 2006). Firms with higher leverage are more likely to be constrained financially and less capable of paying out more (e.g., Brav et al. 2005; Hoberg et al. 2014). On the contrary, firms with more buffers of operational slack, such as higher cash flows, higher cash reserves, and higher profitability, are able to pay out more.

4.2 | Dynamic Effects

To validate our baseline regression results, we conduct a variety of follow-up tests. First, the central assumption behind the DID framework is the parallel-trend assumption. To formally test that, we re-estimate our baseline model by developing a series of

TABLE 2 | Rejections of the IDD and corporate payouts.

	PAYOUT	PAYOUT
	(1)	(2)
IDDR	0.330** (2.659)	0.382*** (3.485)
SIZE		0.829*** (7.007)
LEV		-4.114*** (-7.661)
AGE		0.791*** (2.734)
MB		-0.024*** (-3.250)
GSALE		-0.272** (-2.226)
OPCF		0.409 (1.489)
EARNVOL		0.957 (0.954)
CASH		2.298*** (4.505)
ROA		0.110 (0.531)
Firm × Cohort FE	Y	Y
Year × Cohort FE	Y	Y
N	52,620	52,620
Adjusted R ²	0.278	0.297

Note: This table estimates the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts using the stack-cohort approach. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

time indicators relative to the actual event year. Specifically, we estimate Equation (2) as follows:

$$\begin{aligned}
 PAYOUT_{i,c,s,t} = & \beta_0 \times IDDR(-3)_{s,t} + \beta_1 \times IDDR(-2)_{s,t} \\
 & + \beta_3 \times IDDR(-1)_{s,t} + \beta_4 \times IDDR(0)_{s,t} + \beta_5 \times IDDR(+1)_{s,t} \\
 & + \beta_6 \times IDDR(+2)_{s,t} + \beta_7 \times IDDR(+3)_{s,t} + \beta_8 \times IDDR(+4)_{s,t} \\
 & + \gamma \times CONTROL_{i,c,s,t-1} + \omega_c \times v_i + \omega_c \times \tau_t + \varepsilon_{i,c,s,t}, \quad (2)
 \end{aligned}$$

where *IDDR*(-3/-2/-1) is a dummy variable equals to 1 if it is 3 years/2 years/1 year before the rejections of the IDD; *IDDR*(0) is a dummy variable equals to 1 if it is the current year of the rejections of the IDD; *IDDR*(+1/+2/+3) is a dummy variable equals to 1 if it is the 1 year/2 years/3 years after the rejections of the IDD; *IDDR*(4+) is a dummy variable equals to 1 if it is 4 or

more years after the rejections of the IDD. In this specification, 4 or more years before the rejections of the IDD serve as the benchmark. Also, Borusyak, Jaravel, and Spiess (2024) indicate that the parallel test can suffer from the underidentification problem when lacking a pure control group. Therefore, our tests based on the stacked sample with clean controls can help address this issue and provide more reliable estimations on the parallel test.¹⁵

We report the dynamic model estimation results in Table 3.¹⁶ Similar to our baseline results, we attempt the models with and without control variables. We show that, regardless of the choice of adding or not adding control variables, all the coefficient estimates prior to the actual event year are statistically insignificant. That means there is no evidence of pre-trend. In contrast, starting from the first year after IDD rejections, all the coefficient estimates turn out to be positive and significant at the conventional levels. Since in all the follow-up years, including in the longer run (i.e., 4 years beyond the year of IDD rejections), the payout increases, this infers that the documented effect in our baseline results is persistent and non-reverting.

One concern of our DID estimation is the possibility of reverse causality between payouts and the rejections of the IDD. Our dynamic model in Table 3 already sheds light on that since no pretrend ahead of IDD rejections is detected. Nevertheless, for the sake of completeness, we follow Png (2015) and Guernsey et al. (2022) and perform a Cox discrete-time proportional hazard model where the “failure event” is the rejection of the IDD in a state. Once a state rejects the IDD, it drops out of the sample.

The estimated results are presented in Table 4. In Column (1), we only include 1-year lagged state-level average *PAYOUT* in the model. In Column (2), following Acharya et al. (2014), we add a set of 1-year lagged state-level macroeconomic variables into the model, including whether a state has adopted the IDD, state-level GDP growth rate, the natural logarithm of GDP, the unemployment rate, the total population, the union membership rate, and the tax rate. In Column (3), we further control for state-level political balance (the ratio of Democrat to Republican state representatives in the House of Representatives) in the model. All those potential determinations are not statistically related to the IDD rejections, indicating that the timing of IDD rejections is largely exogenous to individual firms and validating our DID approach.¹⁷

5 | Additional Analysis

5.1 | Cross-Sectional Analysis

To explore the heterogeneity in various firm characteristics that might alter the relationship between IDD rejections and corporate payouts, we conduct a cross-sectional analysis in this section by still relying on the stack-cohort approach. Ideally, we want to partition the sample based on firm characteristics in the year prior to the rejections of the IDD (denoted as year $t - 1$). However, in the staggered DID setting, as there are multiple dates on which IDD are rejected, no unique $t - 1$ period exists for each firm in the panel. Gormley and Matsa (2011, 2016) suggest that the stack-cohort approach can help address this empirical challenge. We

TABLE 3 | Dynamic effects.

	<i>PAYOUT</i> (1)	<i>PAYOUT</i> (2)
<i>IDDR</i> (−3)	−0.089 (−0.619)	−0.056 (−0.386)
<i>IDDR</i> (−2)	0.155 (0.651)	0.175 (0.690)
<i>IDDR</i> (−1)	0.290 (1.554)	0.308 (1.517)
<i>IDDR</i> (0)	0.229 (1.513)	0.252 (1.561)
<i>IDDR</i> (+1)	0.516*** (2.990)	0.545*** (3.053)
<i>IDDR</i> (+2)	0.558*** (3.819)	0.635*** (3.960)
<i>IDDR</i> (+3)	0.354* (1.956)	0.449** (2.522)
<i>IDDR</i> (4+)	0.430*** (2.894)	0.537*** (3.569)
<i>SIZE</i>		0.831*** (7.080)
<i>LEV</i>		−4.110*** (−7.652)
<i>AGE</i>		0.796*** (2.736)
<i>MB</i>		−0.024*** (−3.258)
<i>GSALE</i>		−0.273** (−2.226)
<i>OPCF</i>		0.411 (1.498)
<i>EARNVOL</i>		0.946 (0.943)
<i>CASH</i>		2.304*** (4.510)
<i>ROA</i>		0.107 (0.516)
Firm × Cohort FE	Y	Y
Year × Cohort FE	Y	Y
<i>N</i>	52,620	52,620
Adjusted <i>R</i> ²	0.278	0.297

Note: This table estimates the dynamic effects of the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

TABLE 4 | Determinants of the rejections of the IDD.

	(1)	(2)	(3)
<i>State average PAYOUT</i>	−0.064 (−0.603)	−0.014 (−0.077)	0.014 (0.081)
<i>State IDD</i>		−0.126 (−0.192)	−0.130 (−0.177)
<i>State GDP Growth</i>		−12.834 (−0.941)	−12.922 (−0.927)
<i>State log(GDP)</i>		0.051 (0.025)	−0.068 (−0.023)
<i>State log(population)</i>		1.113 (0.566)	1.270 (0.422)
<i>State union membership rate</i>		0.027 (0.609)	0.018 (0.377)
<i>State tax</i>		−0.003 (−0.032)	−0.008 (−0.087)
<i>State political balance</i>			0.162 (1.048)
<i>N</i>	902	902	862
<i>Pseudo-R²</i>	0.002	0.151	0.146

Note: This table reports the results from a Cox proportional hazard model where the “failure event” is the rejection of the inevitable disclosure doctrine (IDD) in a state, that is, once a state rejects the IDD, it drops from the sample. The sample period begins from 1994. All explanatory variables are lagged by 1 year. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

therefore estimate the following model:

$$PAYOUT_{i,c,s,t} = \beta IDD_{s,t} \times X_{i,c} + \gamma_1 IDD_{s,t} + \gamma_2 X_{i,c} + \omega_c \times v_i + \omega_c \times \tau_t + \varepsilon_{i,c,s,t}, \quad (3)$$

where *c* indexes cohort, and $X_{i,c}$ is one of several firm characteristics used to identify cross-sectional differences for each firm in each cohort. As we control for cohort-times-firm-fixed effects and cohort-times-year-fixed effects in the model, the individual item of $X_{i,c}$ in the above equation, is absorbed and therefore will not be reported in the table. The coefficient on the interaction term of $IDD_{s,t}$ and $X_{i,c}$ is the one with main interest.

5.1.1 | The Reliance on Key Human Capital

Our first set of cross-sectional analysis considers the reliance on key human capital. We conjecture that following the rejections of the IDD, the risk of losing key talents is more of a concern and the potential benefits of recruiting key talents tend to be larger for firms that rely more on key human capital to generate cash flows and sustain daily operations.

To this end, we employ one firm-level and two industry-level measures to assess a firm’s reliance on key human capital and

TABLE 5 | Cross-sectional analysis—The importance of key talents.

	<i>PAYOUT</i> (1)	<i>PAYOUT</i> (2)	<i>PAYOUT</i> (3)
<i>IDDR</i> × <i>KEY_HUMAN</i>	0.287** (2.699)		
<i>IDDR</i> × <i>SKILL</i>		1.151** (2.296)	
<i>IDDR</i> × <i>HIGHTEC</i>			0.595*** (4.427)
<i>IDDR</i>	0.126 (1.102)	−0.105 (−0.531)	0.115 (1.238)
Firm × Cohort FE	Y	Y	Y
Year × Cohort FE	Y	Y	Y
<i>N</i>	32,066	49,248	52,018
Adjusted <i>R</i> ²	0.250	0.268	0.268

Note: This table estimates the heterogeneous effects of the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts regarding the importance of key talents. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Since the cross-sectional variables are time-invariant within each cohort and therefore can be absorbed by the fixed effects, we do not report them in the table. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

report estimation results in Table 5. Israelsen and Yonker (2017) indicate that, as losing a key employee is detrimental to firms in general, firms in which human capital plays an important role are willing to purchase key man insurances. Therefore, they use disclosures of “key man life insurance” to measure the risk associated with key human capital.¹⁸ In Column (1), we employ their main measure, *KEY_HUMAN*, a dummy variable that equals 1 if the firm discloses that it insures key employees and 0 otherwise, to proxy for a firm’s reliance on key human capital. Belo et al. (2017) classify an industry as a low- or high-skill industry based on the hiring rate of skilled workers and the percentage of workers in that industry who work on occupations that require a high level of training and preparation (high-skill workers).¹⁹ In Column (2), we follow their definition and define *SKILL* as the hiring rate of skilled workers in an industry. In Column (3), we take firms in high-tech industries as having stronger demands for scientists to develop advanced products, whose main assets are the key employees (Zingales 2000). We follow Ljungqvist and Wilhelm (2003) to classify firms into high-tech industries based on their four-digit SIC industry code (*HIGHTEC*).

In all columns, we find out that coefficients are positive and statistically significant, meaning that our main effects are more pronounced when firms are more reliant on key human capital. That lends strong support to our conjecture that more corporate payouts are demanded when shareholders perceive more threats of losing the key talents.

5.1.2 | Corporate Governance

In our second cross-sectional test, we postulate that corporate governance could play an important role in affecting the relation between payouts and IDD rejections. From the perspective of the “outcome model,” La Porta et al. (2000) suggest that corporate payouts can effectively protect shareholder rights, and firms with better corporate governance will payout more. In a more recent cross-country study, Bae et al. (2021) corroborate the outcome model by showing that board reforms that strengthen the board’s monitoring role induce managers to disgorge more payouts following board reforms. In addition, from the outside market scrutiny perspective, higher payments will reduce the free cash, alleviating the overinvestment issue (particularly, overinvestment in human capital as we discussed in the previous sections) and exposing managers to the outside financial market whenever external financing is needed (Francis et al. 2011). Following along both the outcome model and market scrutiny argument, we argue that, under better corporate governance, shareholders should have stronger bargaining power over managers to ask for higher payouts as a commitment to avoiding overinvestment in human capital.

We employ the widely used G-index (Gompers et al. 2003) and E-index (L. Bebchuk et al. 2009) for corporate governance.²⁰ As a higher G-index or E-index indicates worse governance, to facilitate the interpretation of estimation results, we multiply the original value of the G-index (E-index) by -1 and construct CG_G (CG_E). Therefore, a higher level of CG_G or CG_E indicates better governance. In addition, we use institutional ownership as the third measure of governance that is identified to be effective in pressuring firms to pay more dividends (Crane et al. 2016). We report estimation results in Table 6. In Columns (1) and (2), we find that the coefficient estimates on $IDDR \times CG_G$ and $IDDR \times CG_E$ are positive and significant, suggesting that stronger investor protection due to stronger internal corporate governance yields more payouts following the rejections of the IDD. As we turn to the external corporate governance mechanism, institutional holdings ($INST$), we continue to find the same pattern that better governance (i.e., higher institutional holdings) will magnify the positive relation between IDD and payouts. Overall, our findings are consistent with the outcome model and market scrutiny that better corporate governance would curb shareholder expropriation by the key talents and entitle shareholders to more payouts.

5.1.3 | Firm Financial Condition

In this section, we consider cross-sectional effects regarding firm financial conditions. The rent extraction effect would be more important for firms that are financially healthier, that is, with higher profitability, lower distress risk, and so forth, because those firms would have a high potential to accumulate internal funds. Higher payouts could be used to avoid the accumulation of internal funds that are vulnerable to labor forces’ capture (DeAngelo et al. 2009; Chino 2016). We therefore predict that shareholders of financially healthier firms tend to demand higher payouts in order to prevent rent extraction by key talents.

TABLE 6 | Cross-sectional analysis—Corporate governance.

	PAYOUT (1)	PAYOUT (2)	PAYOUT (3)
$IDDR \times CG_G$	0.120*** (3.165)		
$IDDR \times CG_E$		0.235* (1.712)	
$IDDR \times INST$			0.776*** (3.504)
$IDDR$	1.414*** (4.095)	1.249** (2.277)	−0.114 (−0.764)
Firm $\times$ Cohort FE	Y	Y	Y
Year $\times$ Cohort FE	Y	Y	Y
N	15,538	18,570	44,404
Adjusted R^2	0.244	0.281	0.272

Note: This table estimates the heterogeneous effects of the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts regarding corporate governance. All variables are as defined in Table A1. In Columns (1), the sample period covers 1994 through 2006 due to data limitation of the E-index. In Columns (2) and (3), the sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Since the cross-sectional variables are time-invariant within each cohort and therefore can be absorbed by the fixed effects, we do not report them in the table. Robust standard errors are clustered at the state-of-headquarter level. T-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

Here, we consider leverage and cash holdings as two major indicators of financial conditions that are important for a firm’s competitive advantages on the product market (Campello 2006; Fresard 2010; Klasa et al. 2018). We also consider a more comprehensive measure, the expected default frequency (EDF), constructed following Bharath and Shumway (2008), which is a simplified version of Merton’s (1974) structural distance-to-default model. A higher level of EDF indicates a higher likelihood of default.

Our estimation results are in Table 7. Similar to prior sections, our variables of interest are the interaction terms $IDDR \times LEV$, $IDDR \times CASH$, and $IDDR \times EDF$. In Columns (1) and (2), we find that firms with stronger financial conditions, that is, lower leverage and higher cash holdings, are more able to increase dividends in reaction to the rejections of the IDD. In Column (3), we show that the increase in payouts is more pronounced for firms with ex ante lower estimated default frequency, which further confirms that financially stronger firms are more able to predate financially unhealthy firms and recruit/retain key talents.

5.1.4 | Product Market Competition

In this section, we consider cross-sectional effects regarding product market competition. We hypothesize that key talents of firms faced with more competition threats from their product market peers are more able to threaten to leave.

TABLE 7 | Cross-sectional analysis—Financial condition.

	<i>PAYOUT</i> (1)	<i>PAYOUT</i> (2)	<i>PAYOUT</i> (3)
<i>IDDR</i> × <i>LEV</i>	−1.450*** (−5.220)		
<i>IDDR</i> × <i>CASH</i>		1.529*** (5.194)	
<i>IDDR</i> × <i>EDF</i>			−0.001*** (−3.380)
<i>IDDR</i>	0.569*** (4.155)	−0.053 (−0.441)	0.352*** (3.634)
Firm × Cohort FE	Y	Y	Y
Year × Cohort FE	Y	Y	Y
<i>N</i>	51,739	51,984	44,643
Adjusted <i>R</i> ²	0.268	0.269	0.270

Note: This table estimates the heterogeneous effects of the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts regarding firm distress risk. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Since the cross-sectional variables are time-invariant within each cohort and therefore can be absorbed by the fixed effects, we do not report them in the table. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

Therefore, following the rejections of the IDD, the necessity of demanding higher payouts to prevent rent extraction from key talents tends to increase with the degree of product market competition.

To test the above conjecture, we employ three measures of product market competition. The first one is product market fluidity in Hoberg et al. (2014), *FLUID*, which captures the contestability through measuring changes in rival firms' products relative to the firm's products. A higher level of fluidity indicates a higher degree of product market competition. The second one, *TNICHHI*, is text-based network industry concentration, a higher level of which indicates a lower degree of product market competition. To facilitate the interpretation of estimation results, we use one minus *TNICHHI* when constructing the interaction term in the model. The third one, *TNICSIMM*, known as "total similarity," measures firms' exposure to product market competition and is constructed based on how firms describe themselves in the product description section of their 10-K filings, a higher level of which indicates a higher degree of product market competition. Both of *TNICHHI* and *TNICSIMM* are used in Hoberg and Phillips (2010).

We report estimation results in Table 8. The variables of interest are the interaction terms *IDDR* × *FLUID*, *IDDR* × (1 − *TNICHHI*), and *IDDR* × *TNICSIMM*. The coefficients on these interaction terms are positive and significant in all three columns, suggesting that the increase in payouts is more pronounced when product market competition is fiercer, which confirms the conjectures above.

TABLE 8 | Cross-sectional analysis—Product market competition.

	<i>PAYOUT</i> (1)	<i>PAYOUT</i> (2)	<i>PAYOUT</i> (3)
<i>IDDR</i> × <i>FLUID</i>	0.155*** (2.792)		
<i>IDDR</i> × (1 − <i>TNICHHI</i>)		0.851* (1.744)	
<i>IDDR</i> × <i>TNICSIMM</i>			0.029*** (2.821)
<i>IDDR</i>	−0.515* (−1.862)	−0.280 (−0.863)	0.182* (1.959)
Firm × Cohort FE	Y	Y	Y
Year × Cohort FE	Y	Y	Y
<i>N</i>	61,574	51,643	51,643
Adjusted <i>R</i> ²	0.282	0.268	0.267

Note: This table estimates the heterogeneous effects of the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts regarding product market competition. All variables are as defined in Table A1. The sample period covers 1997 through 2017 due to data limitation of those textual-based product market competition measures. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Since the cross-sectional variables are time-invariant within each cohort and therefore can be absorbed by the fixed effects, we do not report them in the table. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

5.1.5 | Discussion on Alternative Explanations

Apart from our main arguments, three additional possible channels are worth discussing. First, the rejections of the IDD facilitate competitors in poaching key talents and weakening a firm's position, thereby intensifying competition. Grullon and Michaely (2014) suggest that intensified competition can discipline managers and therefore prompt firms to increase payouts. This argument is also supported by Farre-Mensa et al. (2014). If this channel dominates, the marginal effect of IDD rejections tends to be stronger for firms that are lacking of strong governance and competition threats ex ante. However, as we reveal that the increase in payouts in response to IDD rejections concentrates in firms with ex ante better governance and higher product market competition, this view is insufficient to explain our main findings.

Second, an increase in competition can create space for financially healthier firms to predate peer competitors that are prone to distress. According to the deep-pocket theory of predation (Telser 1966; Bolton and Scharfstein 1990), knowing that peer competitors will imitate his or her firm's dividend policy, an industry leader can exploit this tendency and use payout policy to force a competitor into financial hardship (Grennan 2019).²¹ As key talents prefer to work for a financially stronger employer to avoid costly job loss when exposed to financial distress or bankruptcy (Brown and Matsa 2016; Caggese et al. 2019; Babina 2020; Baghai et al. 2021), the rejections of the IDD might induce firms with stronger financial conditions and under higher pressures from product market peers to increase payouts

in order to predate their competitors and stimulate key talent outflows from financially unhealthy peer firms. However, as it is rather hard to provide direct evidence of financially distressed firms' employees switching to product market rivals that are less financially distressed, one may interpret the arguments above with caution.

Third, the increased payouts convey positive information about firms' prospective profitability (e.g., Bhattacharya 1979; John and Williams 1985; Denis et al. 1994; Allen et al. 2000) and "signal safety" regarding possible decreases in cash-flow volatilities and firm risks (Grullon et al. 2002; Michaely et al. 2021; Michaely and Moin 2022). Therefore, financially healthy firms may be incentivized to distinguish themselves from financially unhealthy firms by using increased payouts as a costly but verifiable signal in order to recruit/retain key talents. However, as financially healthy firms tend to be those with larger size and suffer less from information asymmetries, our results are driven by firms with fewer incentives of signaling. Therefore, this signaling-incentivized payout decision is unlikely to explain the main findings.

5.2 | Additional Analyses

We conduct a series of additional analyses to further buttress our main findings. First, to address the concern that the treated firms might be fundamentally different from the control firms across observable characteristics and that our linear control variables may fail to control for such differences, we employ a propensity score matching strategy. In particular, we retain all the observations for the treated and control firms the year before the rejections of the IDD and view each law change event as a separate cohort, which resembles the empirical practice in Section 3.2. We then estimate a logistic regression where the dependent variable is an indicator variable that equals 1 if the firm is in the treatment group and 0 otherwise. In this model, we include the vector of control variables in the baseline model as well as cohort- and region-fixed effects. We match each treated firm in year $t - 1$ to the one control firm (without replacement) with the closest propensity score and end up with 1164 unique matched pairs.

In Table C1, we report statistics and estimation results of the propensity score matching. In Panel A, we report estimation results from the pre-match regression in Column (1) and the post-match diagnostic regression in Column (2). In Column (1), a few coefficient estimates, including leverage, sales growth, operating cash flow, earnings volatility, and cash holdings, are statistically significant, indicating that certain firm characteristics indeed predict the state-level IDD rejections. In Column (2), none of the coefficient estimates is significant after the matching process, and the pseudo- R^2 shrinks from 0.148 to 0.013, indicating that these variables no longer predict whether a given firm enters into the treatment group. In Panel B, we report the sample means of the control variables for the matched treated and control firms, and reveal that the sample means between the treated and control firms are no longer different after the matching procedure. Overall, the statistics above suggest that the matching process is successful. After confirming the validity of the matching procedure, we re-estimate the baseline model, as well as the

dynamic model, based on the matched sample, which consists of all the observations of the matched pairs across the sample period. In Panel C, we find empirical patterns that are consistent with Tables 2 and 3.

Second, in Table C2, to show that our results are insensitive to alternative measures of corporate payouts, we construct alternative measures of corporate payouts. In Column (1), following Banyí et al. (2008), we use an alternative way to define share repurchases when calculating total payouts and construct *PAYOUT_ADJ*. In Columns (2) to (4), following Grullon and Michaely (2002), we construct *PAYOUT_CEQ*, *PAYOUT_IBC*, *PAYOUT_OANCF*, and *PAYOUT_SALE*, which use common equity, income before extraordinary items, operating cash flow, and total sales as the denominator, respectively. All the coefficient estimates on *IDDR* remain positive and statistically significant.

Third, though our main results have included firm-times-cohort fixed effect and year-times-cohort fixed effect, those fixed effects do not account for time-varying unobservable factors that vary within industry or within locations. For instance, shareholders in different industries might demand payouts differently, and their demand might change over time. To capture those unobservable factors, we run high-dimensional fixed effects suggested by econometricians (e.g., Gormley and Matsa 2014). In particular, we re-estimate baseline regressions and dynamic tests by adding region-times-year-times-cohort, industry-times-year-times-cohort, and state-of-incorporation-times-year-times-cohort fixed effects into the model, without and with the vector of control variables. Estimated results in Table C3 confirm our main findings.

Fourth, to alleviate the concern that our baseline results might be driven by one specific type of firm (e.g., firms located in one particular state), we conduct sensitivity analysis and report the results in Table C4. In Column (1), we exclude firms headquartered in California and Massachusetts, as both states have a large fraction of listed firms and are featured by strong employee protection (Acharya et al. 2014). In Column (2), we exclude firms incorporated in Delaware, as a large percentage of the firms in our sample are incorporated there. In Column (3), to alleviate the concern that a firm's key employees could be located in a state that is different from the headquarter state, we exclude firms in geographically dispersed industries (retail, transportation, and wholesale) following Agrawal and Matsa (2013).

In additional miscellaneous tests, we exclude firm-year observations in 2008 and 2009 to avoid the impact of financial crisis (Column 4); we treat the year when the IDD is rejected as the transition year and exclude treated firm observations in those years (Column 5); and we attempt two-way (headquarter state and year) cluster (Column 6). All those results remain robust.

Fifth, we reconcile our findings with prior studies concerning the effect of IDD adoptions on corporate payouts. Both Chowdhury and Doukas (2022) and Canil et al. (2023) exploit the staggered adoptions of the IDD and report that firms increase dividend payouts following IDD adoptions. In particular, based on a sample period similar with ours (1994 through 2019), Canil et al. (2023) show that firms in IDD-adopting states increase dividend payouts. One major issue that needs to be considered is that

many of the legal shocks of IDD adoptions occurred before 1994. That is, many earlier treated units serve as control units of later treated units in the estimation. To see this, in Table C5, we conduct the Goodman-Bacon decomposition. The results indicate sharply that the obtained positive effect of IDD adoptions is mainly driven by comparisons between treated firms and *always-treated* firms, those located in states where IDD was adopted before 1994, the weight of which is as high as 0.451. The estimates derived from the other three sources are negative. In untabulated results, we confirm that the effect of IDD adoptions on corporate payouts is positive and significant when using the traditional specification of staggered DID setting. However, the coefficient of *IDD* carries an opposite sign when the stack-cohort approach is used. Collectively, it seems that the potential “forbidden control” problem biases the estimation, and the true average treatment effect of IDD adoptions on corporate payouts tends to be negative rather than positive. The empirical patterns above highlight the importance of taking the potential “forbidden control” problem into consideration.

Sixth, we consider corporate option awards and repurchases. In addition to our primary explanation that firms respond to IDD rejections through dividends, one alternative explanation is that firms might give employees more options to retain key human capital. If firms resort to paying more equity-based compensation to retain workers, they will mechanically increase repurchases to buy back equity when employees exercise their options or stock awards. To evaluate the validity of this explanation, we test whether the IDD rejections would influence firms’ option awards and report the results in Table C6. In Column (1), we re-estimate the baseline model after replacing the dependent variable with the number of corporate option awards. In Column (2), we examine the impact of IDD rejections on the ratio of the value of option awards to the market value of common stock (multiplied by 100). The coefficient on *IDDR* is insignificant in both columns, indicating that firms do not significantly increase option grants in response to the IDD rejections. In Column (3), we exclude firms that grant options and find a positive but statistically significant coefficient on *IDDR*, which further rules out the alternative possibility that firms resort to paying more equity-based compensation to retain workers rather than dividend payouts. In Column (4), we further test whether our baseline results are driven by share repurchases. Following K. M. Kahle (2002), we use net repurchases rather than total payouts and find an insignificant coefficient on *IDDR*, which indicates that share repurchases are not a significant factor in firms’ response to the IDD rejections.

Seventh, we investigate both the intensive and extensive margins of payout policy to provide a comprehensive understanding of the impact of IDD rejections. To examine the effects of IDD rejections on the likelihood that a firm will initiate payouts (i.e., extensive margin), we re-estimate the baseline model after replacing the dependent variable with *PROB_PAYOUT*, an indicator variable that equals 1 if a firm initiates payouts and 0 otherwise. The estimation results are presented in Column (1) of Table C7. In Column (2), we turn our attention to the intensive margin by examining the effect of IDD rejections on *PAYOUT_INTEN*, which measures the ratio of corporate payout to the market value of common equity, conditional on the firm having already chosen to initiate payouts (i.e., intensive margin). The coefficient on

IDDR is positive and statistically significant in both columns, suggesting that the rejections of the IDD not only increase the likelihood of initiating payouts but also raise the amount of payouts.

Taken together, we find a significant increase in total corporate payout following IDD rejections. Such a finding is robust under different model specifications, when employing alternative measures of payout, in the refined sample generated by the propensity score matching technique, and in subsamples that are not subject to the choice of particular types of firms.

6 | Conclusion

Exploiting the staggered rejections of the IDD across 15 US states as exogenous shocks that potentially increase the mobility of key human capital, we find that treatment firms increase payouts relative to control firms following the rejections of the IDD. The baseline effects are more pronounced among firms that are more reliant on key human capital, have better corporate governance and stronger financial conditions, and are faced with greater product market competition. These findings confirm that higher payouts can serve as a commitment to avoiding overinvestment in human capital under the pressures from shareholders. Our overall evidence suggests that the incentive to recruit/retain key talents is an important determinant of corporate payout policies. In particular, higher payouts enable shareholders to deter the capture of economic rents by key talents who threaten to leave. Overall, our findings reveal an unintended consequence of the inalienable nature of key human capital on the division of economic gains within firms.

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Endnotes

¹Based on the 2020 PwC’s 23rd Annual Global CEO Survey, 74% of CEOs concerned about the lack of getting the human capital with the proper skills for their organizations. Such a shortage in skilled human capital, coupled with the rising demand, exacerbates the challenges in the decision of retaining, hiring, and replacing the skilled human capital.

²In our paper, we will interchangeably use key talents or key human capital, which refer to management and technical personnel that are essential to the firm.

³For example, between 2010 and 2019, the companies listed in the S&P 500 Index spent \$9.1 trillion on payouts to their shareholders—equaling over 90% of their profits over that same period (Gneiting, Lusiani, and Tamir, 2021). Senators Chuck Schumer and Bernie Sanders indicate that they attempt to get a vote on legislation that demands that corporations commit to addressing the needs of their workers and communities before the interests of their wealthy

stockholders. Source: <https://www.nytimes.com/2019/02/03/opinion/chuck-schumer-bernie-sanders.html>

- ⁴ Flammer and Kacperczyk (2019) identify a total of 14 rejection events. As their sample ends in 2013, they do not include the rejection event of North Carolina in 2014. We further update this list to date, which includes 15 rejection events.
- ⁵ For example, the success of the project may depend on the manager's personal reputation and his ties with the firm's customers and/or suppliers. Alternatively, the manager may possess detailed knowledge of the structure of interpersonal relationships between the key actors in the firm. Another factor giving rise to rents is that the remainder of the management team may have adapted to the manager's operational style.
- ⁶ Chowdhury and Doukas (2022) and Canil et al. (2023) demonstrate that firms in states adopting IDD experience an increase in dividend payouts. However, our baseline regression results reveal the opposite effect, suggesting that it is IDD rejections that cause a decrease in payouts. We argue that the positive effects of IDD adoptions reported by these studies are likely biased due to the "forbidden control" problem. In Section 5.2, we conduct the Goodman-Bacon decomposition and show that the positive effect they find is primarily driven by comparisons between treated firms and always-treated firms. Furthermore, we employ the stack-cohort approach and find that the true average treatment effect of IDD adoptions on corporate payouts is negative rather than positive.
- ⁷ The rationale behind dividend payout and share repurchases has been well established since Miller and Modigliani (1961). The surveys by DeAngelo et al. (2009) and Farre-Mensa et al. (2014) have summarized numerous theories and empirical findings on corporate payouts.
- ⁸ It is worth noting that the court's decision goes beyond this single case—it turns away the IDD for nearly all future disputes. The list we use to show IDD rejections covers only rulings that plainly shift how well firms in those states can guard their proprietary knowledge and leaves out any that barely move the needle.
- ⁹ See, for example, table 1 in Klasa et al. (2018).
- ¹⁰ We thank Ke Na for explaining the institutional details. During our sample period, some of IDD rejections are done by the state courts that have never adopted the IDD in previous years, while other IDD rejections are from state courts that reversed their position on the IDD.
- ¹¹ For example, the success of the project may depend on the manager's personal reputation and his ties with the firm's customers and/or suppliers. Alternatively, the manager may possess detailed knowledge of the structure of interpersonal relationships between the key actors in the firm. In addition, the remainder of the management team may have adapted to the manager's operational style.
- ¹² That is, key talents may use their influence or threaten to leave to ask for payments that are in excess of the level that would be optimal for shareholders (L. A. Bebchuk et al. 2002).
- ¹³ As Compustat only provides information on the most recent state of headquarters, we retrieve information on the historical state of incorporation from this link: <https://sraf.nd.edu/data/>, which compiles relevant data based on firms' SEC electronic filings since 1994.
- ¹⁴ In untabulated results, we also conduct a Goodman-Bacon decomposition and find that the potential "forbidden control" problem slightly biases the results of a conventional DID analysis.
- ¹⁵ To further verify the parallel trend assumption, in untabulated results, we follow the empirical specification of Chari et al. (2021) and Borusyak et al. (2024) and perform the analysis by using five leads and lags around the timing of IDD rejections and choose year -1 as the omitted category to show such a dynamic effect.
- ¹⁶ To facilitate easier interpretation, we have also plotted the estimates. Please refer to Figure A1.

- ¹⁷ As discussed by Angrist and Pischke (2009) and highlighted by Gormley and Matsa (2016), it is important to avoid excessive endogenous time-varying controls in DID estimation. Nevertheless, in the untabulated results, we incorporate state-level controls and re-estimate the main results of our paper. We find that the baseline results are still robust with a positive and statistically significant coefficient on *IDDR*.
- ¹⁸ The approach is also adopted in Qiu and Wang (2021), who rely on SEC's regulatory requirement that US publicly traded companies need to explicitly discuss risk factors for investors in 10-K, and key talents are often considered as an important source of risk to be disclosed.
- ¹⁹ In particular, they use the Specific Vocational Preparation (SVP) index from the Dictionary of Occupational Titles (DOT), available from the Department of Labor, and employee data from the Bureau of Labor Statistics (BLS), Occupational Employment Statistics (OES) program.
- ²⁰ As Riskmetrics stops collecting several of the components for the G-index after 2007, we replace the value of the G-index with the value in 2006 for years after 2006.
- ²¹ Grennan (2019) provides a real-life example based on two US firms, General Electric (GE) and Westinghouse (WHS). Although GE was more profitable than WHS for decades, the two companies' dividends often moved in lockstep. In fact, to maintain a dividend competitive with GE, WHS had to finance its dividends with debt and the popular press subsequently blamed "the recklessness in the declaration of dividends" for WHS's financial distress in the 1990s.

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Appendix

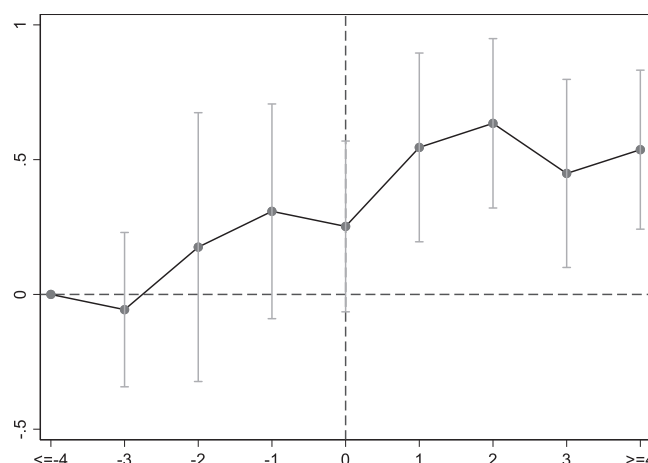


FIGURE A1 | Dynamic effects. The figure illustrates the outcomes of the dynamic effects analysis. The horizontal axis denotes various time points relative to the intervention occurrence (time point 0). The vertical axis represents the magnitude of the estimated treatment effect, that is, the difference between the treatment and control groups at each time point. The solid line traces the estimated treatment effects over time, while the vertical lines with caps depict the 95% confidence intervals for these estimates.

TABLE A1 | Variable definition.

Variables	Definition
Panel A: Main measures	
<i>PAYOUT</i>	Corporate payout, the ratio of total corporate payout (DVC + PRSTKC) to the market value of common equity (PRCC_F × CSHO). The original value is multiplied by 100 to facilitate the interpretation of estimation results.
<i>IDDR</i>	The rejection of the inevitable disclosure doctrine (IDD), an indicator variable that equals 1 if a firm's headquarter state has rejected the IDD and 0 otherwise.
<i>SIZE</i>	Firm size, the natural log of total assets (AT).
<i>LEV</i>	Firm leverage, the ratio of long-term debt (DLTT) to total assets (AT).
<i>AGE</i>	Firm age, the natural log of (the current year – the first year appears in Compustat + 1).
<i>MB</i>	Market-to-book ratio, the ratio of the market value of equity (PRCC_F × CSHO) to the book value of equity (CEQ).
<i>GSALE</i>	Sales growth, the growth rate of total sales (SALE) from year $t - 1$ to year t .
<i>OPCF</i>	Operating cash flow, the ratio of operating cash flow (OANCF) to total assets (AT).
<i>EARNVOL</i>	Earnings volatility, the standard deviation of operating income before depreciation (OIBDP) divided by total assets (AT) in the prior 5 years.
<i>CASH</i>	Cash holdings, the ratio of cash and cash equivalents (CHE) to total assets (AT).
<i>ROA</i>	Return on assets, the ratio of (pretax income [PI] minus special items [SPI]) to total assets (AT).
Panel B: Other measures	
<i>PAYOUT_DIV</i>	Cash dividend, the ratio of total cash dividend (DVC) to the market value of common equity (PRCC_F × CSHO). The original value is multiplied by 100 to facilitate the interpretation of estimation results.
<i>PAYOUT_ADJ</i>	Corporate payout, the ratio of the sum of [DVC + PRSTKC + min(0, DPREF)] to the market value of equity (PRCC_F × CSHO). We first calculate DPREF as PSTKRV in the current year minus PSTKRV in the last year; if DPREF is missing, we then calculate DPREF as PSTKL in the current year minus PSTKL in the last year; if DPREF is still missing, we then calculate DPREF as PSTK in the current year minus PSTK in the last year; last, we replace the rest missing values of DPREF with 0. In calculation, we replace missing values of PSTKRV, PSTKL, and PSTK with 0. The original value is multiplied by 100 to facilitate the interpretation of estimation results.
<i>PAYOUT_CEQ</i>	Corporate payout, the ratio of total payout (DVC + PRSTKC) to common equity (CEQ). In calculation, we replace missing values of PSTKRV with 0, and require CEQ > 0. The original value is multiplied by 100 to facilitate the interpretation of estimation results.
<i>PAYOUT_SALE</i>	Corporate payout, the ratio of total payout (DVC + PRSTKC) to total sales (SALE). In calculation, we replace missing values of PSTKRV with 0 and require SALE > 0. The original value is multiplied by 100 to facilitate the interpretation of estimation results.
<i>PAYOUT_IBC</i>	Corporate payout, the ratio of total payout (DVC + PRSTKC) to income before extraordinary items (IBC). In calculation, we replace missing values of PSTKRV with 0 and require IBC > 0.
<i>PAYOUT_OANCF</i>	Corporate payout, the ratio of total payout (DVC + PRSTKC) to operating cash flow (OANCF). In calculation, we replace missing values of PSTKRV with 0 and require OANCF > 0.

(Continues)

TABLE A1 | (Continued)

Panel B: Other measures	
<i>PROB_PAYOUT</i>	The likelihood that a firm will initiate payouts (i.e., extensive margin of payout policy), an indicator variable that equals 1 if a firm initiates payouts and 0 otherwise.
<i>PAYOUT_INTEN</i>	The intensive margin of payout policy, the ratio of corporate payout to the market value of common equity, conditional on the firm having already chosen to initiate payouts.
<i>KEY_HUMAN</i>	The key human capital measure of Israelsen and Yonker (2017), which is equal to 1 if the firm discloses whether it insures key employees and 0 otherwise.
<i>SKILL</i>	High-skill industry, defined based on the percentage of workers in that industry who work on occupations that require a high level of training and preparation, which is constructed by Belo et al. (2017).
<i>HIGHTEC</i>	High-technology industries. Following Ljungqvist and Wilhelm (2003), we regard firms with SIC code 3571, 3572, 3575, 3577, 3578, 3661, 3663, 3669, 3674, 3812, 3823, 3825, 3826, 3827, 3829, 4899, 7370, 7371, 7372, 7373, 7374, 7375, 7378, or 7379 as high-technology firms.
<i>CG_G</i>	Corporate governance, the G-index constructed by Gompers et al. (2003) multiplied by -1 in order to construct a positive measure of corporate governance.
<i>CG_E</i>	Corporate governance, the E-index constructed by L. Bebchuk et al. (2009), multiplied by -1 in order to construct a positive measure of corporate governance.
<i>INST</i>	Institutional ownership, the fraction of shares owned by institutions.
<i>EDF</i>	Expected default Frequency, a simplified version of Merton (1974) structural distance-to-default model. See Bharath and Shumway (2008).
<i>FLUID</i>	The product market fluidity data that assess the degree of competitive threat and product market change surrounding a firm, which is constructed by Hoberg et al. (2014).
<i>1-TNICHHI</i>	HHI concentration index based on 10-K Text-based Network Industry Classifications (TNIC), which is constructed by Hoberg and Phillips (2010). We use 1 minus the original value in order to construct a positive measure of industry competition.
<i>TNCSIMM</i>	Product similarity index based on 10-K Text-based Network Industry Classifications (TNIC), which is constructed by Hoberg and Phillips (2010).
<i>OPTION_NUM</i>	The number of options granted.
<i>OPTION_VALUE</i>	The ratio of the value of options granted to the market value of common equity ($PRCC_F \times CSHO$). The original value is multiplied by 100 to facilitate the interpretation of estimation results.
<i>NETREP</i>	The ratio of the net repurchases (i.e., the number of common shares repurchased minus the number of common shares issued) to the market value of common equity ($PRCC_F \times CSHO$). The original value is multiplied by 100 to facilitate the interpretation of estimation results.

TABLE B1 | Rejections of the inevitable disclosure doctrine (IDD) legislation.

State	Year	Case
AR	2009	<i>Cellco Partnership v. Langston</i> , No. 4:09CV00928 JMM (W.D. Ark. 2009)
CA	2002	<i>Whyte v. Schlage Lock Co.</i> , No. G028382 (Ct. of App. of California 2002)
FL	2001	<i>Del Monte Fresh Produce Co. v. Dole Food Co., Inc.</i> , 148 F. Supp. 2d 1322 (S.D. Fla. 2001)
GA	2013	<i>Holton v. Physician Oncology Servs., LP</i> , No. S13A0012, 2013 WL 1859294 (Ga. 2013)
MD	2004	<i>LeJeune v. Coin Acceptors, Inc.</i> , 381 Md. 288 (Md. 2004)
MA	2012	<i>US Elec. Servs. v. Schmidt</i> , Civil Action No. 12-10845-DJC (US Dist. CT. for the Dist. of Mass. 2012)
MI	2002	<i>CMI Int'l, Inc. v. Internet Int'l Corp.</i> , 649 N.W.2d 808, 812 (Mich. Ct. App. 2002)
NC	2014	<i>Horner International Co. v. McKoy</i> , 754 S.E.2d 852 (N.C. Ct. App. 2014)
NH	2010	<i>Allot Communications v. Cullen</i> , 10-E-0016 (N.H. Merrimack Superior Ct. 2010)
NJ	2012	<i>SCS Healthcare Marketing, LLC v. Allergan USA, Inc.</i> , N.J. Super. Unpub. LEXIS 2704 (N.J. Sup. Ct. Ch. Div. 2012)
NY	2009	<i>American Airlines, Inc. v. Imhof</i> , US Dist. LEXIS 46750 (S.D.N.Y. 2009)
OH	2008	<i>Hydrofarm, Inc. v. Orendorff</i> , Ohio App. LEXIS 5717 (Ohio App. Ct. 2008)
VA	1999	<i>Government Technology Services, Inc. v. Intellisys Technology Corp.</i> , 51 Va. Cir. 55 (Va. Cir. Ct. 1999)
WA	2012	<i>Amazon.com, Inc. v. Powers</i> , Case No. C12-1911RAJ (W.D. Wash. 2012)
WI	2009	<i>Clorox Co. v. SC Johnson & Son Inc.</i> , 2:09-cv-00408-JPS (US District Court, Eastern District of Wisconsin 2009)

Note: This table presents the rejections of the inevitable disclosure doctrine (IDD). The list is originally obtained from Flammer and Kacperczyk (2019) and updated with recent court rulings.

TABLE C1 | Propensity score matching.

Panel A: Pre-match regression and post-match diagnostic regression				
	Pre-match		Post-match	
	(1)		(2)	
<i>SIZE</i>	0.028 (1.603)		−0.037 (−1.357)	
<i>LEV</i>	−0.307** (−1.997)		0.165 (0.705)	
<i>AGE</i>	−0.049 (−1.390)		0.048 (0.861)	
<i>MB</i>	−0.001 (−0.132)		0.004 (0.380)	
<i>GSALE</i>	0.291*** (3.833)		−0.002 (−0.017)	
<i>OPCF</i>	−0.582** (−2.385)		0.464 (1.188)	
<i>EARNVOL</i>	0.879** (2.280)		0.469 (0.744)	
<i>CASH</i>	0.388*** (2.674)		0.240 (1.050)	
<i>ROA</i>	0.130 (0.674)		0.020 (0.065)	
Cohort FE	Y		Y	
Region FE	Y		Y	
<i>N</i>	23,611		2320	
Pseudo- <i>R</i> ²	0.148		0.013	
Panel B: Post-match differences				
	Treated (<i>N</i> = 1160) (1)	Control (<i>N</i> = 1160) (2)	Differences (3)	<i>T</i> -value (4)
<i>SIZE</i>	5.530	5.566	−0.036	−0.44
<i>LEV</i>	0.193	0.192	0.001	0.16
<i>AGE</i>	2.443	2.397	0.047	1.25
<i>MB</i>	3.296	3.314	−0.018	−0.09
<i>GSALE</i>	0.128	0.133	−0.006	−0.35
<i>OPCF</i>	0.020	0.006	0.014	1.52
<i>EARNVOL</i>	0.079	0.077	0.001	0.36
<i>CASH</i>	0.223	0.220	0.003	0.35
<i>ROA</i>	−0.040	−0.052	0.012	1.05

(Continues)

TABLE C1 | (Continued)

Panel C: Estimates based on the propensity-score matched sample		
	PAYOUT (1)	PAYOUT (2)
<i>IDDR</i>	0.532*** (4.062)	
<i>IDDR</i> (−3)		0.179 (1.174)
<i>IDDR</i> (−2)		−0.061 (−0.305)
<i>IDDR</i> (−1)		−0.087 (−0.513)
<i>IDDR</i> (0)		0.203 (1.181)
<i>IDDR</i> (+1)		0.356 (1.209)
<i>IDDR</i> (+2)		1.015*** (4.911)
<i>IDDR</i> (+3)		0.849*** (4.247)
<i>IDDR</i> (4+)		0.424*** (2.894)
<i>SIZE</i>	1.143*** (7.132)	1.146*** (7.189)
<i>LEV</i>	−3.670*** (−5.850)	−3.666*** (−5.854)
<i>AGE</i>	0.739** (2.176)	0.736** (2.158)
<i>MB</i>	−0.039*** (−3.035)	−0.039*** (−3.045)
<i>GSALE</i>	−0.453*** (−3.035)	−0.454*** (−3.066)
<i>OPCF</i>	−0.194 (−0.315)	−0.205 (−0.332)
<i>EARNVOL</i>	0.993 (1.091)	0.999 (1.108)
<i>CASH</i>	2.159*** (4.276)	2.167*** (4.256)
<i>ROA</i>	0.187 (0.755)	0.188 (0.759)
Firm × Cohort FE	Y	Y
Year × Cohort FE	Y	Y
<i>N</i>	19,763	19,763
Adjusted <i>R</i> ²	0.304	0.305

(Continues)

TABLE C1 | (Continued)

Note: This table presents statistics of post-match differences in propensity score matching. Panel A presents parameter estimates from the logistic model used to estimate propensity scores for firms in the treatment and control groups. In Panel B, Column (1) presents sample average of firm characteristics in the treated group; Column (2) presents sample average of firm characteristics in the control group; Column (3) presents the sample-mean difference tests between Columns (1) and (2); and Column (4) presents the *T*-values of the sample-mean difference test between Columns (1) and (2). Panel C reports estimates based on the propensity-score-matched sample. Definitions of all these variables are provided in Table A1. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

TABLE C2 | Alternative measures of corporate payouts.

	<i>PAYOUT_ADJ</i>	<i>PAYOUT_CEQ</i>	<i>PAYOUT_SALE</i>	<i>PAYOUT_IBC</i>	<i>PAYOUT_OANCF</i>
	(1)	(2)	(3)	(4)	(5)
<i>IDDR</i>	0.310** (2.656)	0.912* (1.915)	0.506** (2.095)	0.094*** (2.900)	0.041** (2.446)
<i>SIZE</i>	0.800*** (6.420)	0.683 (1.395)	1.110*** (2.986)	0.245*** (5.069)	0.111*** (4.619)
<i>LEV</i>	−3.846*** (−7.416)	−5.726*** (−3.486)	−6.079*** (−9.001)	−1.140*** (−7.804)	−0.673*** (−10.663)
<i>AGE</i>	0.736** (2.631)	1.133 (1.456)	0.579 (0.937)	0.174** (2.598)	0.085** (2.450)
<i>MB</i>	−0.026*** (−4.263)	0.140** (2.233)	−0.017 (−0.608)	−0.006** (−2.075)	−0.003* (−1.717)
<i>GSALE</i>	−0.310*** (−2.772)	−0.550 (−1.472)	−1.026*** (−3.545)	−0.265*** (−6.670)	−0.091*** (−3.296)
<i>OPCF</i>	0.516 (1.672)	5.023*** (4.963)	0.206 (0.217)	0.035 (0.169)	0.180* (1.745)
<i>EARNVOL</i>	0.502 (0.549)	−1.664 (−1.144)	0.585 (0.238)	−0.171 (−0.697)	−0.086 (−0.781)
<i>CASH</i>	2.285*** (5.028)	6.673*** (4.691)	4.761*** (3.030)	0.694*** (3.771)	0.620*** (6.338)
<i>ROA</i>	0.205 (1.048)	0.771 (1.211)	1.026 (1.308)	−0.050 (−0.328)	0.052 (0.930)
Firm × Cohort FE	Y	Y	Y	Y	Y
Year × Cohort FE	Y	Y	Y	Y	Y
<i>N</i>	52,620	50,651	52,578	36,132	42,337
Adjusted <i>R</i> ²	0.312	0.464	0.364	0.235	0.245

Note: This table estimates the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts using the stack-cohort approach. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

TABLE C3 | High-degree fixed effects.

	<i>PAYOUT</i> (1)	<i>PAYOUT</i> (2)	<i>PAYOUT</i> (3)	<i>PAYOUT</i> (4)
<i>IDDR</i>	0.320** (2.620)		0.373*** (3.410)	
<i>IDDR</i> (−3)		−0.085 (−0.591)		−0.052 (−0.352)
<i>IDDR</i> (−2)		0.157 (0.661)		0.178 (0.702)
<i>IDDR</i> (−1)		0.291 (1.564)		0.310 (1.525)
<i>IDDR</i> (0)		0.228 (1.506)		0.253 (1.556)
<i>IDDR</i> (+1)		0.519*** (3.002)		0.548*** (3.044)
<i>IDDR</i> (+2)		0.547*** (3.657)		0.625*** (3.807)
<i>IDDR</i> (+3)		0.344* (1.921)		0.439** (2.498)
<i>IDDR</i> (4+)		0.414*** (2.699)		0.519*** (3.342)
<i>SIZE</i>			0.836*** (7.039)	0.837*** (7.114)
<i>LEV</i>			−4.117*** (−7.623)	−4.113*** (−7.616)
<i>AGE</i>			0.786*** (2.705)	0.791*** (2.707)
<i>MB</i>			−0.024*** (−3.375)	−0.024*** (−3.385)
<i>GSALE</i>			−0.267** (−2.177)	−0.267** (−2.177)
<i>OPCF</i>			0.424 (1.504)	0.425 (1.515)
<i>EARNVOL</i>			0.938 (0.934)	0.927 (0.922)
<i>CASH</i>			2.288*** (4.533)	2.294*** (4.538)
<i>ROA</i>			0.101 (0.491)	0.099 (0.478)
Firm × Cohort FE	Y	Y	Y	Y
Year × Cohort FE	Y	Y	Y	Y
Region × Year × Cohort FE	Y	Y	Y	Y
Industry × Year × Cohort FE	Y	Y	Y	Y
Incorp × Year × Cohort FE	Y	Y	Y	Y

(Continues)

TABLE C3 | (Continued)

	<i>PAYOUT</i> (1)	<i>PAYOUT</i> (2)	<i>PAYOUT</i> (3)	<i>PAYOUT</i> (4)
<i>N</i>	52,620	52,620	52,620	52,620
Adjusted <i>R</i> ²	0.278	0.278	0.297	0.297

Note: This table estimates the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts using the stack-cohort approach. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort, year-times-cohort, region-times-year-times-cohort, industry-times-year-times-cohort, and state-of-incorporation-times-year-times-cohort fixed effects. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

TABLE C4 | Additional robustness checks.

	Excluding firms headquartered in California and Massachusetts <i>PAYOUT</i> (1)	Excluding firms incorporated in Delaware <i>PAYOUT</i> (2)	Excluding firms in geographical disperse industries <i>PAYOUT</i> (3)	Excluding firm-year observations in 2008 and 2009 <i>PAYOUT</i> (4)	Excluding firm-year observations in IDD-rejection years <i>PAYOUT</i> (5)	Two-way cluster <i>PAYOUT</i> (6)
<i>IDDR</i>	0.356*** (2.987)	0.504*** (3.428)	0.417*** (3.390)	0.427*** (3.893)	0.445*** (3.868)	0.382*** (3.255)
<i>SIZE</i>	0.769*** (5.644)	1.019*** (6.260)	0.817*** (7.287)	0.859*** (7.593)	0.828*** (6.723)	0.829*** (5.588)
<i>LEV</i>	−4.267*** (−7.212)	−4.346*** (−6.830)	−3.870*** (−6.239)	−4.193*** (−8.021)	−4.133*** (−7.586)	−4.114*** (−7.732)
<i>AGE</i>	0.955*** (3.783)	0.459* (1.684)	0.684** (2.688)	0.793** (2.489)	0.784** (2.616)	0.791** (2.691)
<i>MB</i>	−0.023** (−2.646)	0.003 (0.139)	−0.029*** (−3.381)	−0.034*** (−4.336)	−0.025*** (−3.445)	−0.024** (−2.426)
<i>GSALE</i>	−0.275* (−1.765)	−0.180 (−0.679)	−0.250** (−2.052)	−0.316** (−2.485)	−0.273** (−2.118)	−0.272* (−1.950)
<i>OPCF</i>	0.616* (1.943)	−0.431 (−0.606)	0.349 (1.366)	0.386 (1.305)	0.457* (1.697)	0.409* (1.934)
<i>EARNVOL</i>	1.301 (1.138)	0.976 (0.668)	0.985 (0.982)	0.276 (0.352)	1.097 (1.078)	0.957 (0.848)
<i>CASH</i>	2.634*** (4.683)	2.879*** (4.983)	2.389*** (4.734)	2.251*** (4.629)	2.250*** (4.108)	2.298*** (4.870)
<i>ROA</i>	0.275 (1.135)	0.540 (0.937)	0.120 (0.519)	0.125 (0.711)	0.131 (0.567)	0.110 (0.637)
Firm × Cohort FE	Y	Y	Y	Y	Y	Y
Year × Cohort FE	Y	Y	Y	Y	Y	Y
<i>N</i>	44,975	19,496	49,146	47,574	51,064	52,620
Adjusted <i>R</i> ²	0.302	0.287	0.296	0.292	0.295	0.296

Note: This table provides further robustness checks on the relation between the rejections of the inevitable disclosure doctrine (IDD) on corporate payouts using the stack-cohort approach. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

TABLE C5 | Goodman-Bacon decomposition for the IDD adoption setting.

DD comparison	Weight (1)	Average DD estimation (2)
Earlier treatment vs. later control	0.011	−0.065
Later treatment vs. earlier control	0.042	−0.182
Treatment vs. always treated control	0.451	0.257
Treatment vs. never treated control	0.496	−0.090

Note: This table displays the decomposition of the staggered difference-in-differences coefficients of the IDD adoption setting using the method suggested by Goodman-Bacon (2021). The outcome variable is *PAYOUT*.

TABLE C6 | IDD rejections and corporate option awards.

	OPTION_NUM (1)	OPTION_VALUE (2)	PAYOUT (3)	NETREP (4)
<i>IDDR</i>	−14.192 (−0.870)	5.700 (1.025)	1.070*** (4.913)	−1.023 (−1.334)
<i>SIZE</i>	68.061** (2.244)	1.546 (0.212)	1.008*** (3.724)	1.742** (2.555)
<i>LEV</i>	−66.435 (−1.051)	−24.091 (−0.903)	−3.954*** (−3.068)	−10.498*** (−5.958)
<i>AGE</i>	−29.563 (−1.307)	−15.192 (−0.715)	0.090 (0.187)	−3.211*** (−4.200)
<i>MB</i>	0.187 (0.062)	−0.664 (−1.459)	−0.018 (−0.716)	0.183*** (3.878)
<i>GSALE</i>	−37.476 (−1.192)	9.606 (0.860)	0.249 (0.557)	0.265 (0.524)
<i>OPCF</i>	−85.271 (−0.779)	−50.647 (−1.349)	0.213 (0.245)	6.533** (2.120)
<i>EARNVOL</i>	413.707 (1.385)	90.977* (1.988)	5.689*** (4.169)	−1.351 (−0.276)
<i>CASH</i>	−87.743 (−1.023)	−33.834 (−0.779)	5.336*** (3.122)	7.096*** (4.345)
<i>ROA</i>	−235.367*** (−3.578)	−69.417** (−2.323)	−0.244 (−0.395)	8.313*** (3.334)
Firm × Cohort FE	Y	Y	Y	Y
Year × Cohort FE	Y	Y	Y	Y
<i>N</i>	25,011	24,997	6731	47,803
Adjusted <i>R</i> ²	0.483	0.496	0.357	0.631

Note: This table estimates the rejections of the inevitable disclosure doctrine (IDD) on corporate option awards using the stack-cohort approach. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.

TABLE C7 | The intensive and extensive margins of payout policy.

	<i>PROB_PAYOUT</i>	<i>PAYOUT_INTEN</i>
	(1)	(2)
<i>IDDR</i>	0.382*** (3.485)	0.806*** (3.875)
<i>SIZE</i>	0.829*** (7.007)	1.579*** (7.309)
<i>LEV</i>	−4.114*** (−7.661)	−6.274*** (−11.013)
<i>AGE</i>	0.791*** (2.734)	0.429 (1.181)
<i>MB</i>	−0.024*** (−3.250)	−0.057*** (−4.658)
<i>GSALE</i>	−0.272** (−2.226)	−0.940*** (−3.568)
<i>OPCF</i>	0.409 (1.489)	1.471 (1.507)
<i>EARNVOL</i>	0.957 (0.954)	0.285 (0.137)
<i>CASH</i>	2.298*** (4.505)	5.013*** (5.094)
<i>ROA</i>	0.110 (0.531)	0.839 (1.474)
Firm × Cohort FE	Y	Y
Year × Cohort FE	Y	Y
<i>N</i>	52,620	28,950
Adjusted <i>R</i> ²	0.297	0.308

Note: This table estimates the rejections of the inevitable disclosure doctrine (IDD) on the intensive and extensive margins of payout policy using the stack-cohort approach. All variables are as defined in Table A1. The sample period covers 1994 through 2019. All regressions control for firm-times-cohort and year-times-cohort fixed effects. Robust standard errors are clustered at the state-of-headquarter level. *T*-statistics are reported in parentheses. Coefficients marked with *, **, and *** are significant at 10%, 5%, and 1%, respectively.